

SOUTHERN CROSS STRATEGIC HOLDINGS PTE LIMITED

Protecting People. Securing Progress.

Kikori Development Project | Papua LNG Corridor | Gulf Province, Papua New Guinea

QUALITY ASSURANCE POLICY

Assuring Consistent, Standard-Compliant Service Delivery

Audit, Quality Assurance & Compliance (AQAC) Series

Document Number	SCSH-AQAC-QA-001
Version	2.0
Effective Date	1 August 2026
Classification	Confidential — Internal Use Only

UNCONTROLLED WHEN PRINTED — CONFIDENTIAL

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1. Document Control

Policy Title	Quality Assurance Policy
Document Number	SCSH-AQAC-QA-001
Version	2.0
Status	Approved — Controlled Document
Classification	Confidential — Internal Use Only
Effective Date	1 August 2026
Next Review Date	31 July 2027
Policy Owner	Manager — Audit, Quality Assurance & Compliance (AQAC)
Approving Authority	Chief Executive Officer / Managing Director
Applies To	All employees, contractors and subcontractors of the Company
Related Documents	Audit Policy (SCSH-AQAC-AUD-001); Compliance Policy (SCSH-AQAC-COM-001); applicable SOPs and the Company Code of Conduct
Supersedes	AQAC Team Policy, Version 1.0 (2025) — quality-assurance provisions

2. Purpose

This policy establishes how the Audit, Quality Assurance & Compliance (AQAC) Team assures the quality of security services delivered across the Kikori Development Project (KDP) and the wider Papua LNG corridor. It provides a systematic, evidence-based framework to verify that all current Standard Operating Procedures (SOPs) are implemented, that defined performance standards are consistently met, and that any gaps in service are identified, corrected and used to drive measurable and continuous improvement.

The policy further ensures that the quality of the Company's service delivery can be demonstrated with confidence to the client, to project lenders and to regulators, particularly as the Papua LNG project transitions from pre-Final Investment Decision (FID) engineering towards construction mobilisation.

3. Scope

This policy applies to all employees, contractors and subcontractors of the Company, and to every security activity, post and function operating within the Kikori Development Project and the wider Papua LNG corridor. This includes, without limitation, land security, border and access control, riverine and maritime posts, mobile patrols, the Operations Room, Private Security Details (PSD), Quick Response Team (QRT) and K9 functions, and all remote and forward posts.

Where a subcontractor delivers a security service on behalf of the Company, that service falls within the scope of this policy and is subject to the same quality standards, verification and reporting.

4. Definitions

Quality Assurance (QA)	The planned and systematic activities that provide confidence that services meet defined standards and requirements.
Quality of Service (QoS)	A structured assessment of how well delivered services meet client and Company expectations.
SOP	Standard Operating Procedure — the authorised method for performing a defined task.
KPI	Key Performance Indicator — a measurable value showing how effectively an objective is being met.
Drill	A planned rehearsal of a response procedure (e.g. fire, intrusion, medical or maritime emergency) used to test readiness.
NCN	Non-Compliance Notice — a formal record issued where a major shortfall or systemic weakness is identified.
CAIP	Corrective Action & Improvement Plan — a documented plan, with owner and due date, that addresses the root cause of a shortfall.
Root Cause	The underlying reason a shortfall occurred, as distinct from its visible symptom.
VPSHR	Voluntary Principles on Security and Human Rights — the international framework governing security conduct on extractive projects.
IFC PS	International Finance Corporation Performance Standards on environmental and social sustainability.
Company / SCSH	Southern Cross Strategic Holdings Pte Limited.

5. Operating Context

Southern Cross Strategic Holdings Pte Limited (“the Company”, “SCSH”) provides integrated security services across the Kikori Development Project (“KDP”) within the Papua LNG corridor in the Gulf Province of Papua New Guinea. The Papua LNG project is operated by TotalEnergies EP PNG on behalf of a joint-venture consortium comprising TotalEnergies, ExxonMobil, Santos and JX Nippon, and will develop the Elk-Antelope gas fields, connecting them by pipeline to onshore liquefaction facilities.

As at the effective date of this policy, the project partners have confirmed that Papua LNG remains on track for a Final Investment Decision (FID) targeted for the fourth quarter of 2026, with key regulatory approvals secured and the State-led Development Forum — a critical milestone bringing together the National Government, landowners and the Gulf and Central Provincial Governments — having commenced in July 2026. The project cost has been revised through a renewed engineering, procurement and construction (EPC) tendering process, and the development is advancing from pre-FID engineering towards construction mobilisation.

As the project transitions towards mobilisation, security demand, personnel numbers, sub-contractor activity, logistics movement and community interface all increase. This elevates operational risk and sharpens the obligation to demonstrate assurance, quality and compliance to the client, to lenders and to regulators. Accordingly, this policy is written to align with:

- the security and contractual requirements of the Papua LNG project and the KDP;

- Papua New Guinea legislation and regulatory frameworks governing private security, employment, firearms, occupational health and safety, and the environment;
- internationally recognised standards applied to the project, including the Voluntary Principles on Security and Human Rights (VPSHR), the Equator Principles and the IFC Performance Standards; and
- the Company's own policies, Standard Operating Procedures (SOPs), Code of Conduct and Christian corporate values.

6. Policy Statement

The Company is committed to consistent, professional and high-quality service delivery in every location and under all operating conditions. The QA function operates independently of line operations to objectively verify that services conform to SOPs and standards, and to ensure that shortfalls are identified and corrected before they become risks to personnel, to the client, to the community or to the environment.

Quality assurance is treated not as an administrative formality but as an operational safeguard: consistent, verified performance is fundamental to protecting people and securing the progress of the project.

7. Alignment with Standards & Frameworks

Quality assurance activities are designed and conducted so that verified performance simultaneously demonstrates conformance with the frameworks that govern the project. In particular:

- **Voluntary Principles on Security and Human Rights (VPSHR):** QA checks confirm that the use of force, engagement with the community and treatment of detained or questioned persons are proportionate, lawful and consistent with human-rights training.
- **IFC Performance Standards & Equator Principles:** QA verification supports the social and environmental performance the project's lenders require, including grievance handling and community-interface conduct.
- **PNG regulatory requirements:** QA checks confirm that licensing, firearms handling, employment and occupational health and safety obligations are met at every post.
- **Client contractual standards:** QA measures service delivery against the security requirements and service levels defined in the Company's contract for the KDP.

8. Governance, Independence & Responsibilities

This policy is administered by the Audit, Quality Assurance & Compliance (AQAC) Team, which operates independently of line operations to preserve objectivity, transparency and accountability.

8.1 AQAC Team Composition

- **AQAC Manager** — team lead; reports directly to Executive Management.
- **Quality Assurance Officer** — responsible for SOP and service-quality performance checks and the QA KPI dashboard.
- **Compliance Officer** — ensures policy, contractual and legal compliance.
- **Internal Auditor(s)** — conducts scheduled, risk-based and unannounced audits.
- **Documentation & Reporting Officer** — maintains evidence, records, registers and reports.

8.2 Independence Safeguards

- The AQAC Team must not be directed or influenced by the site operations it reviews.
- All findings are reported directly and without filtering to Executive Management.
- Operational managers may provide clarification and context but cannot overrule, suppress or amend AQAC findings or ratings.
- AQAC personnel must declare and stand aside from any matter in which they have a personal or operational conflict of interest.

Within the QA function, the Quality Assurance Officer plans and conducts service-quality checks, maintains the QA KPI dashboard, and reports performance to the AQAC Manager and Executive Management.

8.3 Relationship to the Audit and Compliance Functions

Quality Assurance is one of three complementary assurance functions within the AQAC Team. Audit provides independent, scheduled and risk-based examination of systems and records; Compliance verifies conformance with legal, regulatory and contractual obligations; and Quality Assurance verifies day-to-day service delivery against SOPs and performance standards. Where a QA check reveals a legal or contractual breach, or a systemic weakness, the matter is referred to the Compliance or Audit function as appropriate, so that findings are addressed once, consistently and without duplication.

9. Quality Assurance Responsibilities

The QA function is mandated to:

- verify the implementation of all current SOPs across every post and function;
- evaluate adherence to training, uniform and equipment, customer-service and response-time standards;
- assess performance gaps, determine their root cause and recommend corrective actions;
- conduct Quality-of-Service (QoS) assessments and report results to management and, where required, the client; and
- maintain the QA KPI dashboard and departmental Performance Scorecards.

10. Quality Assurance Methodology & Assurance Cycle

QA activities follow a structured and repeatable assurance cycle, applied consistently across all posts and functions so that results are comparable and defensible:

- **Plan** — prepare a risk-based schedule of checks, drills and QoS assessments, prioritising higher-risk posts, remote and riverine locations, and functions subject to recent change or previous shortfalls.
- **Verify** — observe performance directly against SOP checklists and standards, sampling posts across day and night shifts and across sites.
- **Assess** — compare observed performance to the defined KPIs, classify any shortfall and identify its root cause.
- **Report** — record findings with supporting evidence, assign corrective actions to a responsible owner with a due date, and consolidate results into the KPI dashboard and scorecards.
- **Close & Improve** — verify that corrective actions have resolved the finding, and feed lessons learned back into SOPs, training and briefings.

11. Quality Assurance Processes

- Conduct weekly SOP performance checks at sites and posts.

- Monitor incident-response logs and customer complaints, and track resolution to closure.
- Verify correct use and serviceability of PPE, uniforms, communications and equipment.
- Randomly observe guard posts during the day and at night, including remote and riverine locations.
- Validate training records, induction records and refresher training, including VPSHR and use-of-force training currency.
- Conduct periodic scenario-based drills — fire, intrusion, medical emergency, environmental / spill response and maritime or riverine emergency.
- Conduct a structured post-drill evaluation and capture lessons learned for SOP improvement.
- Review community-interface and grievance handling for consistency with human-rights standards.

12. Site- & Environment-Specific QA Considerations

The KDP operating environment is geographically dispersed and includes remote land posts, riverine and coastal locations, and a high-community-interface corridor. QA planning and verification take account of these conditions:

- **Remote and forward posts** — verification is scheduled to reach isolated posts, and reliance on self-reporting is minimised through unannounced observation.
- **Riverine and maritime posts** — QA confirms readiness of vessels, safety and communications equipment, and the currency of maritime and man-overboard drills.
- **Community interface** — QA gives particular attention to conduct at points of contact with landowners and communities, consistent with VPSHR and the project's social requirements.
- **Adverse conditions** — QA accounts for the effect of weather, terrain and access on service delivery, and verifies contingency arrangements.

13. Performance Standards & KPIs

The QA function measures service delivery against defined KPIs. Indicative measures include:

Indicator	Target	Review
Incident response time (post to scene)	Within SOP standard	Weekly
Complaint acknowledgement and resolution	Ack < 24 hrs; resolve < 5 days	Weekly
Uniform, PPE and equipment compliance	≥ 95%	Weekly
Training and refresher completion	≥ 95%	Monthly
VPSHR / use-of-force training currency	100%	Monthly
Scenario-based drill score	≥ 80% pass	Per drill
SOP adherence (checklist pass rate)	≥ 90%	Weekly
Corrective actions closed on time	≥ 90%	Monthly

Results are consolidated into a Performance Scorecard for each department, enabling management to track trends, reward strong performance and target weak areas.

14. Classification of Quality Shortfalls

Quality shortfalls are classified and escalated on the same basis as audit findings:

Category	Definition	Required Response
Critical	An immediate threat to life, safety, security of the asset, or a serious breach of law, human rights or client contractual conditions.	Immediate intervention and containment; notify Executive Management and Project Management without delay; corrective action commenced same day.
Major	Repeated breaches, systemic weakness, or an issue causing material operational disruption or reputational exposure.	Formal Non-Compliance Notice (NCN) issued; Corrective Action & Improvement Plan (CAIP) required within five (5) working days.
Minor	Isolated deviation from an SOP or standard with limited operational impact.	Documented and corrected at site level; verified at the next scheduled review.

14.1 Escalation Procedure

- The AQAC Team identifies and records the issue with supporting evidence.
- The issue is formally reported to Executive Management with a recommended classification.
- Corrective measures are assigned to a responsible owner with a due date.
- Follow-up verification confirms whether the corrective action has closed the finding.
- Where non-compliance persists or recurs, the matter is referred for disciplinary or contractual action in accordance with Company policy.

15. Continuous Improvement

- Review SOPs at least every six (6) months and after any significant incident or drill.
- Identify innovation opportunities and recommend technology, process and training upgrades.
- Introduce KPI-driven performance improvements and track their effect.
- Feed lessons learned back into training, briefings and SOP revisions.

16. Reporting Requirements

The QA function produces the following reports:

- Weekly Quality Assurance Report;
- Departmental Performance Scorecards;
- Drill and Exercise Evaluation Reports; and
- QoS Assessment Reports.

Reports are distributed to the CEO / Managing Director, the Operations Manager, the Kikori Project Manager and the Training Manager. Where required under the client contract, QoS results are also reported to the client.

17. Records, Confidentiality & Document Control

- The AQAC Team maintains a master file of QA checklists, scorecards, drill records and reports.
- Records are stored securely in digital and hardcopy form and retained for audit and client review.
- QA records are classified Confidential and are released only to authorised persons and, where contractually required, to the client.
- All template and standard revisions must be approved by Executive Management before use.

18. Non-Retaliation & Good-Faith Reporting

Personnel who, in good faith, report a quality shortfall, raise a concern or cooperate with a QA check are protected from retaliation. Any attempt to intimidate, penalise or obstruct a person for good-faith reporting, or to conceal, alter or suppress a QA finding, is itself a serious breach of this policy and will be dealt with under the Company's disciplinary process.

19. Policy Review

This policy shall be reviewed at least annually, and earlier where any of the following occurs:

- a change in the Company's operational structure or contractual scope;
- a change in Papua LNG or KDP project requirements, including the project's progression through FID and construction mobilisation;
- a change in the Papua New Guinea regulatory environment;
- the emergence of a new or elevated security, safety, human-rights or environmental risk;
- a recurring quality shortfall or client dissatisfaction; or
- a directive from Executive Management or the client.

20. Authorisation

This policy is issued under the authority of the Executive Management of Southern Cross Strategic Holdings Pte Limited and is a controlled document. Amendments are valid only when approved by the Approving Authority and re-issued through the AQAC document-control process.

Prepared By	Reviewed By	Approved By
Manager, AQAC	Compliance Officer	CEO / Managing Director
Name & Signature	Name & Signature	Name & Signature
Date	Date	Date